COMMONWEALTH OF KENTUCKY
COURT OF APPEALS

CASE NO. 2024-CA-0320-MR

ANN PINSKI, D.P.M.	APPEAL FROM JEFFERSON CIRCUIT COURT HONORABLE MELISSA L. BELLOWS, JUDGE ACTION NO. 12-CI-005582	**APPELLANT**
V.		
SHARON LEVINE, Individually and in her capacity as Executor of the Estate of Robert G. Levine		**APPELLEE**

BRIEF OF APPELLEE SHARON LEVINE, INDIVIDUALLY AND IN HER CAPACITY AS EXECUTOR OF THE ESTATE OF ROBERT G. LEVINE

Respectfully submitted,

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CERTIFICATE OF SERVICE

I hereby certify that on October 21, 2024, a copy of the foregoing was served: by email on C. Thomas Hectus, 100 Mallard Creek Road, Suite 400, Louisville, Kentucky, 40207, cthectus@hectuslawoffices.com; and by U.S. Mail, postage prepaid, on the Honorable Melissa Logan Bellows, Jefferson Circuit Court, Division 7, 700 W. Jefferson Street, Louisville, Kentucky, 40202. It is further certified that the record on appeal was not withdrawn.

/s/ *Paul Hershberg*
Paul Hershberg

INTRODUCTION

The Jefferson Circuit Court determined that Appellee Sharon Levine, as the Executor of the Estate of Robert G. Levine, was the prevailing party in this breach-of-contract dispute. That decision on the merits is currently the subject of a separate appeal before this Court – case 2023-CA-1177. This appeal emanates from the Circuit Court's subsequent grant of attorney fees to Mrs. Levine, based on the Circuit Court's determination that she was the prevailing party and thus entitled to recover her fees under the operative agreement. Mrs. Levine submits that the Trial Court correctly exercised jurisdiction, and correctly awarded her the reasonable fees that had been demonstrably billed and paid during the extended underlying litigation, in which she prevailed. The judgment should be affirmed.

STATEMENT CONCERNING ORAL ARGUMENT

Appellee and her counsel believe do not believe that oral argument is necessary to resolve this matter. Should the Court desire oral argument, however, the undersigned will assuredly participate.

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COUNTERSTATEMENT OF THE CASE

This matter involves the dissolution of a business partnership between Appellant, Ann K. Pinski ("Dr. Pinski"), and Robert G. Levine ("Dr. Levine"). On March 2, 2012, Dr. Pinski and Dr. Levine, who had practiced together for decades, entered into a Stock Purchase, Separation, and General Release Agreement ("the Agreement"), by which Dr. Levine purchased Dr. Pinski's one-half ownership interest in Podiatric Physicians of Kentucky, Inc. ("PPK") for the sum of $205,000.[1] Each of the parties to the Agreement was represented by counsel, and the Agreement contained a variety of standard and negotiated terms. One of the warranties from Dr. Pinski was to the effect that as of March 2, 2012, she was owed no payments of any sort by either the practice or Dr. Levine – aside from the $205,000 purchase price/consideration due in consideration of her shares.

The Agreement also contained a fee-shifting provision, Section 17, stating that in the event of any dispute or litigation, the prevailing party would be entitled to recover attorney fees:

> 17. ATTORNEYS' FEES. PPK and Pinski shall each bear their own costs, including attorneys' fees, with respect to this Agreement. In the event of any litigation under this Agreement, whether at trial or on appeal, the prevailing party shall be entitled to recover the reasonable costs of enforcing its or his right hereunder, including reasonable attorneys' fees and court costs.

TR 74.

Dr. Levine made the initial and largest installment payment at the March 2, 2012 closing, as the Agreement contemplated.

On March 5, 2012, however, the business day immediately following the Friday closing, Dr. Pinski deposited no fewer than four checks, each of which she had surreptitiously written to herself from PPK's account in the months preceding the closing, and none of which she had disclosed to Dr. Levine before the closing. When Dr. Levine learned of these deposits, which directly contravened the warranties of the Agreement, he

[1] TR 66-77. There are two records on appeal in this matter – for the primary action (No. 12-CI-05582), and for the revived action (No. 18-CI-001756), which was later consolidated by agreement with the primary action. Unless otherwise specified, citations are to the record in the primary action (No. 12-CI-05582).

deducted $21,500 from the next payment otherwise due to Dr. Pinski. This lawsuit followed. TR 1-6; Complaint filed October 19, 2012.

A. The Initial Lawsuit Proceeds Slowly, On Account of Dr. Levine's Failing Health

The initial iteration of this lawsuit proceeded somewhat slowly, primarily because of Dr. Levine receiving a diagnosis of terminal cancer. When Dr. Levine's condition worsened and he was unable to give deposition testimony, the Trial Court entered an Order authorizing Dr. Pinski and her counsel to take his deposition by written questions. TR 187. Dr. Pinski did not, however, issue any such questions, and Dr. Levine passed before either of the primary parties were deposed.

B. Dr. Pinski Files a Claim Against the Estate of Dr. Levine for $143,125.00, and After the Claim is Denied, Revives the Lawsuit Against Dr. Levine's Estate, Asserting a Variety of Tort Claims

Dr. Levine passed away in 2017, after which his widow, Sharon Levine, was named as fiduciary of his Estate. Dr. Pinski renewed her claims against the Estate, initially filing lawsuit, wherein Dr. Levine had refused her various demands at mediation. TR 298-300. After the Estate denied this inflated claim, Dr. Pinski revived the lawsuit against the Estate. Joint Exhibit 14. In the renewed lawsuit, as in her original lawsuit against Dr Levine, Dr. Pinski sought not only compensatory damages, but also a variety of damages in tort, this time on the theory that Mrs. Levine's denial of her inflated claim constituted a breach of fiduciary duty. *Id.*

C. The Revived Lawsuit is Transferred by Agreement to the Original Trial Court, Which Grants Partial Summary Judgment to the Estate

Dr. Pinski's revived lawsuit was filed in Division 10 of the Jefferson Circuit Court in 2018. By Motion, however, the revived action was transferred to Division 7, based on that Court's familiarity and experience with the underlying proceeding. TR 265-267, 270. Once back before the original Trial Court, Mrs. Levine sought and secured partial summary judgment on Dr. Pinski's tort claims against the Estate, with the Trial Court correctly concluding that Mrs. Levine's fiduciary duties ran only to the Estate, and not to Dr. Pinski, as a result of which any request for extracontractual or punitive damages could not stand. TR 446-455.

D. The Parties Proceed to a Bench Trial on Dr. Pinski's Contract Claims, Reserving the Issue of Prevailing Party Attorney Fees for Post-Trial Adjudication

After the Trial Court dismissed Dr. Pinski's tort claims, all that remained were Dr. Pinski's claim for the initial $21,500 that Dr. Levine withheld from the payments, plus each party's request for attorney fees under the Agreement. The stakes thus reduced, the parties agreed to withdraw their request for a jury trial, and agreed instead to a bench trial, which proceeded on May 16, 2023. The parties further agreed to restrict that bench trial to the merits of the underlying contract claims, reserving the issue of attorney fees for post-trial adjudication by agreement. TR 609.

At the outset of trial, the parties stipulated to the authenticity and admissibility of trial exhibits, which were then presented to the Trial Court in a binder and entered in the record by agreement. These Joint Exhibits included the Agreement, the checks in question, and Mrs. Levine's notice of disallowance of the claim against the Estate.

At trial, Dr. Pinski first called Mrs. Levine on cross-examination. Mrs. Levine confirmed that she was the duly-appointed fiduciary of her husband's estate,[2] and that in this capacity she disallowed Dr. Pinski's claim for over $100,000.[3] Mrs. Levine disclaimed any material participation in PPK's business during the time that the practice was operating,[4] and readily admitted that it was Dr. Levine, and not she, who negotiated the underlying transaction,[5] with counsel. Mrs. Levine disclaimed any specific knowledge regarding the underlying or original litigation, beyond understanding that her husband had withheld certain sums from the amounts otherwise due, after discovering Dr. Pinski's postclosing negotiation of the checks.[6] Mrs. Levine further confirmed that after the underlying transaction, but prior to his death, Dr. Levine had sold the practice to one

[2]VR 11:00:16 – 11:00:21.
[3]VR 11:10:20 – 11:10:48.
[4]VR 11:01:13 – 11:01:18.
[5]VR 11:01:40 – 11:02:24.
[6]VR 11:03:11 – 11:03:18.
[7]VR 11:07:56 – 11:08:04.

Dr. Ketcherside,[7] a fact that Dr. Pinski believes to be relevant to the underlying dispute – and that Mrs. Levine and her counsel do not.

Dr. Pinski then testified on her own behalf. She confirmed that she made the decision to exit PPK because of dissatisfaction with Dr. Levine,[8] with whom she had worked for several decades, initially as an employed doctor, and later as an equal partner in the venture.[9] Dr. Pinski confirmed that since departing PPK, she has operated her own practice on Breckenridge Lane in Louisville.[10]

Relative to the specific property and funds in question, Dr. Pinski testified at length about how business decisions made by Dr. Levine, with which she disagreed or on which she had not been consulted, had required her to expend time and energy, largely during the year 2011, shortly before the separation.[11] Among the sources of Dr. Pinski's frustration was her claim that Dr. Levine would absent himself for vacation or for other reasons, leaving her to deal with practice operations. She specifically noted that certain computer and information technology or software management problems ensued, and that these resulted in great expenditures of her time, for which she was not compensated.[12] Dr. Pinski also stated that she had expended some of her own money in connection with computer crashes and a contract cancellation fee.[13] Dr. Pinski introduced no documentary evidence or other proof to support any personal expenditures.

Dr. Pinski further testified that in the last week of February of 2012, shortly before the closing, Dr. Levine or others at the practice denied her access to the practice's financial documents, including its checkbook.[14] Before Dr. Levine implemented this restriction, however, and without notice to Dr. Levine (or anyone else), Dr. Pinski had written the four checks in question. Three of these were non-sequential checks that, despite not being even close in numerical order, were all dated January 30, 2012 by Dr.

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[8]VR 11:15:37 – 11:15:48.
[9]VR 11:14:07 – 11:14:58.
[10]VR 11:13:25 – 11:13:42.
[11]VR 11:20:53 – 11:22:48.
[12]VR 11:18:58 – 11:19:58; 11:20:06 – 11:20:11.
[13]*Id.*
[14]VR 11:30:52 – 11:31:37.

Pinski, approximately five weeks before the closing.[15] Dr. Pinski testified that she wrote these checks to compensate herself for the inconvenience associated with the additional labors described above, and that one of the checks (Joint Exhibit 3 for $5,000) was to reimburse her for one-half of Dr. Levine's medical malpractice premium. Dr. Pinski claimed that Dr. Levine had paid that premium entirely from PPK funds despite an alleged agreement that PPK would only pay half of their respective premiums.[16] Dr. Pinski admitted that Dr. Levine did not approve the issuance of the checks, and that she never notified him that she had done so. Dr. Pinski also vehemently insisted that as a half-owner of the practice and a signatory on the bank account, she was authorized to write checks, either to herself or to others, without Dr. Levine's approval.[17]

Dr. Pinski also acknowledged that checks exceeding five thousand dollars ($5,000) required signatures of both partners in the practice, though she also claimed that Dr. Levine – and not she – breached this agreement or rule on one or more occasions.[18] It is noteworthy in this regard that each of the checks that Dr. Pinski wrote five weeks before the March 2, 2012 closing, and deposited on the next business day after the closing, were all at or slightly below the $5,000 limit.

Dr. Pinski confirmed that the parties executed the Agreement on March 2, 2012.[19] She also confirmed that at the closing, Dr. Levine made the initial installment payment.

On the following business day, March 5, 2012, Dr. Pinski deposited each of the checks she had written on January 30, 2012.[20] She attempted to justify this timing by claiming that the practice's account did not have adequate funds to cover the check during the month of February – while she was a half-owner of the practice – but that she verified on the date of deposit that the account was sufficiently funded to cover the checks.[21] Most notably, Dr. Pinski acknowledged the authenticity and validity of the

[15] Joint Exhibits 3, 4, and 5.
[16] VR 11:23:31 – 11:24:24; 11:25:09 – 11:27:25.
[17] VR 11:35:10 – 11:35:55.
[18] VR 11:31:46 – 11:32:33.
[19] VR 11:43:47 – 11:44:11.
[20] VR 11:44:12 – 11:44:23.
[21] VR 11:47:41 – 11:47:46; 11:49:36 – 11:49:43.

Agreement, which the parties had jointly entered into evidence, and which plainly acknowledged that neither Dr. Levine nor PPK owed her any sums beyond the negotiated purchase price at the time of the closing.

After the close of the brief proof described above, the parties agreed to submit simultaneously proposed findings of fact and conclusions of law to the Trial Court, in lieu of closing argument.[22] Dr. Pinski's filing sought to emphasize a distinction between Dr. Levine and PPK, and to argue that the right to offset or deduct payment, if applicable, belonged only to the entity, and not to Dr. Levine individually. Dr. Pinski further emphasized the undisputed fact that during the time she was a half-owner of the practice, she was authorized to write checks on its behalf. The Estate, for its part, focused on the plain text of the Agreement, and the specific Acknowledgment that on the date of closing, Dr. Pinski was owed nothing beyond the consideration recited for the buyout.

E. The Trial Court Enters Judgment in the Estate's Favor on the Underlying Contract Claim, Finding that Dr. Pinski Breached the Agreement and Should Therefore Take Nothing

By Opinion and Order dated August 31, 2023,[23] the Trial Court determined that Dr. Pinski's contract claim lacked merit, and agreed with the Estate that Dr. Pinski, and not Dr. Levine, had breached the Agreement. The Trial Court predicated this dispositive finding on the plain text of the Agreement, which Dr. Levine and later his Estate had emphasized for a decade, and which Dr. Pinski's protracted litigation had ignored entirely:

> A simple reading of the contract states that Pinski was not owed any monies after the sale of PPK – "she (Pinski) is not entitled to any additional payments, dividends, compensation, or distributions from Levine and/or PPK." AGREEMENT: Acknowledgement section (1)(f). The check was not deposited until after the closing of the business sale. The contract of sale immediately made Dr. Levine the only owner of PPK, and therefore, Pinski was not entitled to the funds she withdrew from the business account after closing.
>
> …
>
> A central issue here for the Court to determine is whether or not the checks were "payments" made on the date she wrote them or when they were

[22] Dr. Pinski's proposed findings appear at TR 550-558. Mrs. Levine's proposed findings appear at TR 533-549.

[23] TR 599-610.

> deposited. Per UCC, Article 3 governs that the negotiable instrument is "negotiated" or "made" when the check is accepted. Pursuant to the governing negotiable instruments section of the code, the payment here was made when Pinski deposited the checks into her bank account. The Court finds that the "payment" was made after the closing of the business, and therefore Pinski breached the Agreement she entered into when she and Levine entered into a contract to transfer her ownership in PPK to Dr. Levine.
>
> TR 606-607.

The Trial Court also rejected Dr. Pinski's effort, which she repeats here, to draw a technical distinction between PPK and Dr. Levine beyond the closing date, when Dr. Levine became the entity's sole owner. As the Trial Court correctly recognized, Dr. Levine was also a party to the Agreement in his individual capacity, and the very Acknowledgment at the heart of the controversy made specific reference not only to the entity but also to Dr. Levine, who was the individual responsible for paying Dr. Pinski for her interest in PPK under the Agreement:

> The Agreement stated clearly that "she (Pinski) is not entitled to any additional payments, dividends, compensation, or distributions from Levine and/or PPK." Agreement (1)(f), emphasis added. This informs the Court that not only PPK was involved in offsetting the payment here, but Dr. Levine as well. The withholding of the $21,500 by Dr. Levine happened on June 2, 2012, while Dr. Levine passed away on June 8, 2017. As the Court ruled earlier, the UCC applies, and the Court finds that the Estate does have standing to assert a claim for offset.
>
> TR 608 (emphasis in original).

For each of these reasons, the Trial Court denied Dr. Pinski's claim in full. The Trial Court reserved the issue of prevailing party attorney fees and costs, pursuant to the parties' express agreement to address the matter through post-trial briefing. Despite reserving the issue of fees, however, the Trial Court added the finality language of CR 54.02 to its initial judgment, under which Dr. Pinski took nothing.

F. Dr. Pinski Immediately Appeals the Trial Court's Judgment, Before The Trial Court Addresses Attorney Fees

Dr. Pinski timely appealed the Trial Court's judgment, filing a Notice of Appeal on September 29, 2023. TR 611-612. That separate appeal is this Court's case 2023-CA-1177, and stands fully briefed.

G. The Trial Court Addresses and Grant's the Estate's Motion for Attorney Fees

The instant matter, which closely parallels the merits appeal, arises from the fairly limited post-trial motion practice that led the Trial Court to grant the Estate its attorney fees. On January 11, 2024, after an unsuccessful Prehearing Conference in the merits appeal, the Estate moved the Trial Court for an award of all of the attorney fees incurred by Dr. Levine and by the Estate throughout the course of the litigation. TR 628-750. The Estate proved its attorney fees by submitting a compendium of invoices for the legal services performed over the preceding decade, along with an Affidavit detailing the (substantially discounted) rates charged by counsel, and the fact that each of the invoices has indeed been paid. TR 642-746. Redactions were made to protect information covered by work product or attorney-client privilege, and the Estate offered to transmit full and unredacted copies of all invoices for the Court's in camera review, if the Trial Court so desired. TR 643.

Dr. Pinski objected to the Estate's request for attorney fees, raising largely the same objections repeated in the separate appeal. TR 751-756. Dr. Pinski protested that the initial appeal deprived the Trial Court of jurisdiction, but in so doing ignored Kentucky case law to the contrary. Dr. Pinski also argued that the Estate had not properly proven its entitlement to fees, despite the voluminous billing records attached to the Estate's motion. TR 752-753. Finally, Dr. Pinski protested that various issues, such as whether the Estate, PPK, or Dr. Levine had derived any tax benefit from paying the subject attorney fees, either justified discovery or otherwise had some relevance regarding the motion. TR 753-755.

The Trial Court, correctly unpersuaded by these arguments, most of which were unsupported by any Kentucky authority, denied the objections and granted the Estate's motion, awarding the Estate the full amount of $34,592.25 claimed. TR 768. This appeal followed.

ARGUMENT

Dr. Levine was compelled to defend this meritless lawsuit until his death in 2017, and even after his death his widow, Sharon Levine, was forced to expend substantial sums defending her husband's Estate against the same meritless claims. The combined amount expended by Dr. Levine and his Estate exceeded the comparatively paltry amount – $21,500 – originally in controversy. Yet Dr. Pinski's continued insistence that this was not merely a contract dispute, and instead to contend that Dr. Levine and later his Estate had engaged in tortious conduct, caused each of her demands to exceed the amount in controversy by several orders of magnitude. This remained the case even after the Trial Court dismissed her punitive damages claims before trial. Dr. Pinski lost the underlying claims because she was in the wrong, and she lost the attorney fee case because she lost the contract claim.

Here, as below, Dr. Pinski raises the following objections to the Trial Court's award of attorney fees to the Estate as the prevailing party: (1) that the Trial Court lost jurisdiction to make an ancillary award of fees when she filed an appeal of the underlying claim; (2) that the voluminous billing statements and proof of payment submitted by the Estate were not compliant with applicable Local Rules, or were otherwise insufficient to prove the fees incurred and paid by Dr. Levine and the Estate over the course of this litigation; (3) that an artificial distinction between PPK and Dr. Levine, its sole owner throughout this conflict, prohibits the Estate from recovering fees paid by PPK; and/or (4) that the Trial Court erred in denying her additional discovery on the propriety of the fees, and/or some deduction for tax savings or other benefit that the payors may have realized by virtue of deducting the fees as business expenses. The Trial Court correctly rejected each of these arguments when it approved the tendered judgment.

I. DR. PINSKI'S APPEAL OF THE TRIAL COURT'S MERITS DECISION DID NOT DEPRIVE THE COURT OF JURISDICTION TO CONSIDER THE ANCILLARY ISSUE OF AN ATTORNEY FEE AWARD

Dr. Pinski's first argument is that the Trial Court's judgment in the merits action became final ten days after it was entered, depriving the Trial Court of considering a

motion for attorney fees filed thereafter. In support, Dr. Pinski cites *Ky. Farm Bureau Mut. Ins. Co. v. Gearhart*, 853 S.W.2d 907 (Ky. App. 1993). This citation and discussion is inapposite, because the issue of a prevailing party's attorney fees in a contract or civil rights proceeding is separate and distinct from the underlying judgment, and the award is an ancillary one. When ten days expired after the Trial Court's judgment on the merits, or when Dr. Pinski filed her Notice of Appeal from the underlying judgment under CR 73.02, the Trial Court lost jurisdiction to modify the underlying judgment – a judgment that simply denied and dismissed Dr. Pinski's claim.

But the Trial Court did not lose jurisdiction to resolve the ancillary issue of attorney fees. This Court effectively so held in *Louisville-Jefferson County Metro Gov't v. Brooks*, 2013 WL 4512649 (Ky. App. Aug. 23, 2013) (rev. denied 2014), attached as Appendix A. In *Brooks*, this Court specifically rejected the notion that the strictures of CR 52 and CR 59, each of which limits the rights of parties to seek to modify judgments after the expiration of ten days, also deprive the Court of jurisdiction to thereafter render supplemental judgments awarding costs of attorney fees. *Id.* at *2.

The instant case illustrates why this Court's holding in *Brooks* was both correct and necessary. Here, the parties agreed to try the contract portion of this case with the express understanding that the contract provided for prevailing party attorney fees, and that the issue of fees would be reserved for post-trial consideration – with the winning party filing a motion. After the Trial Court rendered its judgment, the attorney-fee issued remained outstanding, and for post-trial consideration. Dr. Pinski (or the Estate, had Dr. Pinski's failed claims prevailed) could not deprive the Trial Court of jurisdiction to address the subsidiary issue of attorney fees by appealing from the contract judgment, then arguing that doing so mooted the fees issue by transferring jurisdiction of the underlying controversy entirely to this Court.

II. THE TRIAL COURT CORRECTLY RECOGNIZED THAT THE ESTATE WAS THE PREVAILING PARTY BELOW

After first contending that the Trial Court lacked jurisdiction to enter an award of fees in the Estate's favor, Dr. Pinski argues unpersuasively that the Estate was not the

prevailing party. As a preliminary matter, this argument duplicates the argument made by Dr. Pinski in her original appeal, which emanated from the Trial Court's merits decision, and should not therefore be considered in this appeal.[24] More substantively, however, Dr. Pinski is simply wrong, because the Trial Court's August 31, 2023 Opinion and Order correctly rejected all of her contract claims, finding that it was she and not Dr. Levine or PPK that breached the Agreement, and awarding her nothing on the claims that she had pursued for over a decade.

On receiving this adverse decision, Dr. Pinski did not seek additional findings, in contravention of CR 52.04. Nor did Dr. Pinski file any post-trial motion under CR 54 or CR 59. In so doing, she waived her right to revisit or object to the Trial Court's underlying factual determinations – all of which are the subject of her parallel appeal in the merits case.

III. THE ESTATE PROPERLY PROVED THE REASONABLE FEE EXPENDITURES MADE BY DR. LEVINE AND BY THE ESTATE THROUGHOUT THE COURSE OF THE ORIGINAL AND REVIVED LAWSUITS

Dr. Pinski's third objection is that the Estate failed to properly prove the attorney fees incurred and paid by the various defendants throughout the course of the underlying litigation. This is also incorrect. As a first matter, a trial court's award of attorney fees, when such fees are authorized or compelled by contract or statute, is reviewable under an abuse-of-discretion standard. *Haney v. Stykes*, 688 S.W.3d 561, 564 (Ky. App. 2023) (*rev. denied* 2024); *Miller v. McGinty*, 234 S.W.3d 371, 373 (Ky. App. 2007). "The test for abuse of discretion is whether the trial judge's decision was arbitrary, unreasonable, unfair, or unsupported by sound legal principles." *Goodyear Tire and Rubber Co. v. Thompson*, 11 S.W.3d 575, 581 (Ky. 2000). The Trial Court's award of attorney fees was plainly within its discretion, and should not be reversed.

[24] Dr. Pinski's Brief concedes at fn. 1, p. 6 that these arguments are the subject of the prior appeal, and not properly before this Court. The undersigned would submit that judicial economy counsels in favor of adjudicating this attorney fee claim concurrently with the pending contract case appeal as a matter of judicial economy, and would not oppose consolidation. But no such motion has been presented, and accordingly in the present posture, the Estate submits that only the issue of attorney fees (the tail wagging the merits dog) is before this panel, while the merits argument (the dog itself) is not.

The Estate proved the attorney fees by submitting a compendium of invoices for the services performed and an Affidavit of counsel (TR 642-745), establishing the (discounted) rates charged and the fact that each of the invoices had indeed been paid. The Estate's counsel made redactions to some of the invoices to protect information covered by work product or attorney-client privilege, but the Estate also offered to transmit full and unredacted copies of all invoices for the Court's in camera review, if so desired (TR 643). This practice comports with well accepted practice in attorney-fee litigation since the Kentucky Supreme Court's decision in the seminal case of *Meyers v. Chapman Printing Co., Inc.*, 840 S.W.2d 814, 826 (Ky. 1992) (approving the familiar "lodestar" calculus, under which "attorney's fee award should consist of the product of counsel's reasonable hours, multiplied by a reasonable hourly rate, which provides for a 'lodestar' figure, which may then be adjusted to account for various special factors in the litigation"). The Estate's proof here included all such data. Further, to the extent that redactions were made to preserve privilege, and to facilitate any in camera review the Trial Court may have wished, this comports with accepted practice. *See also Collins v. Braden*, 384 S.W.3d 154, 164 (Ky. 2012).

This Court has approved consideration of the following factors in determining the reasonableness of an attorney fee award: (a) the amount and character of services rendered; (b) the labor, time, and trouble involved; (c) the nature and importance of the litigation or business in which the services were rendered; (d) the responsibility imposed; (e) the amount of money or the value of property affected by the controversy or involved in the employment; (f) the skill and experience called for in the performance of the services; (g) the professional character and standing of the attorneys; and (h) the result secured. *Mo-Jack Distrib., LLC v. Tamarak Snacks, LLC*, 476 S.W.3d 900, 910 (Ky. App. 2015).

Dr. Pinski has not raised any direct substantive objection to the total amount of fees incurred by Dr. Levine and the Estate, and a simple historical review of this lawsuit reveals why no such objection would lie. This litigation extended for more than a decade, although the case was admittedly dormant over a fair amount of its lifetime. When the

case was active, however, it involved meaningful discovery, and substantial procedural fencing, including successful motion practice by the Estate to eliminate Dr. Pinski's tort claims on summary judgment. The lawsuit culminated in an admittedly brief bench trial, but one that was followed by extensive post-trial briefing. For all of this work, the attorney fees sought and recovered less than thirty-five thousand dollars ($35,000). The Estate's counsel charged rates that actually decreased over the course of the litigation, and that are substantially less than hourly rates approved by courts in recent fee-dispute cases. *See e.g. Schnatter v. 247 Group, LLC*, 2024 WL 3165319 (W.D. Ky. June 25, 2024) at *3 (Magistrate Judge Lindsay approving hourly fees of $425 for law firm partners and $250 for associates in complex litigation), attached hereto as Appendix B.

IV. DR. PINSKI'S REMAINING OBJECTIONS ARE WITHOUT MERIT OR NOT PROPERLY PART OF THIS APPEAL

Dr. Pinski argues, without citation to any particular authority, that any attorney fees paid by PPK, the podiatric practice itself, are not subject to recoupment by the Estate, on the basis that PPK paid these sums as a volunteer. The Trial Court's initial ruling on the merits effectively debunks this novel theory, recognizing that both Dr. Levine and PPK were parties to the original Agreement and entitled to enforce the obligations thereunder. TR 624. Further, to the extent that Dr. Pinski's claims in the underlying litigation sought unsuccessfully to recover an alleged shortfall from Dr. Levine, all sums expended to defend against her entitlement to those funds were both necessary and successful, as the Trial Court recognized.

Finally, Dr. Pinski advances some arguments that attack the Trial Court's decision on the merits, which arguments her Brief concedes to be the subject of a separate appeal. Inasmuch as Dr. Pinski concedes these allegations of error not to be before this Court on the limited issue of the attorney-fee award, the Estate submits that they are not properly the subject of argument here. (See fn. 1 at p. 6 of Appellant's Brief).

CONCLUSION

In 2012, Dr. Pinski sat at a closing table with counsel, the same counsel who represents her here, and executed an Agreement that unambiguously disclaimed any

entitlement to payments from PPK or Dr. Levine of anything more than $205,000, the stated consideration for Dr. Pinski's half-interest in that business. Almost before the ink was dry on that Agreement, Dr. Pinski violated this contractual warranty by depositing several checks that she had surreptitiously taken and written to herself before closing. In so doing, Dr. Pinski effectively converted money from the very practice in which she had just relinquished ownership, and in which Dr. Levine was, by the time of the conversion, the sole owner. When Dr. Levine protested this violation, Dr. Pinski did not accept the consequences of her misdeeds. Instead, she spent more than a decade chasing Dr. Levine, and after his death his Estate, for money to which she was not entitled, as well as to other categories of damages, many of which were not recoverable as a matter of law.

Dr. Levine, and after his passing his Estate, were forced to defend these claims over more than a decade. They did so, and did so successfully, with Dr. Pinski taking nothing for her claim. Once the Estate prevailed, it became entitled to attorney fees as the prevailing party under the Agreement. The Trial Court properly awarded the Estate its reasonable fees, which the Estate proved correctly and in accordance with standard practice. The Trial Court did not abuse its discretion in so doing, and the award and resulting judgment should be affirmed.

APPENDIX

Appendix A: *Louisville-Jefferson County Metro Gov't v. Brooks*, 2013 WL 4512649 (Ky. App. Aug. 23, 2013) (rev. denied 2014)

Appendix B: *Schnatter v. 247 Group, LLC*, 2024 WL 3165319 (W.D. Ky. June 25, 2024)

Respectfully submitted,

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